

NEXACORE TECHNOLOGIES INC.

FY2025 Annual Budget Plan — CONFIDENTIAL

Prepared by: CFO Office | Approved: Board of Directors Jan 15, 2025 | Do Not Distribute

EXECUTIVE SUMMARY

NexaCore Technologies enters FY2025 with strong momentum. FY2024 closed at \$116.75M ARR, representing 38% YoY growth. For FY2025, the Board has approved a growth target of 32% YoY, bringing ARR to \$154.1M by December 31, 2025. EBITDA margin is targeted to expand from 16% to 19% through operational efficiency initiatives, automation investments, and disciplined headcount growth.

FY2025 KEY FINANCIAL TARGETS

Metric	FY2024 Actual	FY2025 Target	YoY Growth
Annual Recurring Revenue (ARR)	\$116.75M	\$154.1M	+32%
Total Revenue	\$116.75M	\$151.2M	+29%
Gross Margin	76.0%	77.5%	+150 bps
EBITDA	\$18.7M	\$28.7M	+54%
EBITDA Margin	16.0%	19.0%	+300 bps
Net Revenue Retention (NRR)	116%	118%	+200 bps
Customer Acquisition Cost (CAC)	\$42,500	\$38,000	-11%
CAC Payback Period	18 months	15 months	-3 months
LTV:CAC Ratio	4.8x	5.6x	+0.8x
Total Headcount (EoY)	412	485	+18%
Revenue per Employee	\$283,374	\$311,753	+10%

BUDGET ALLOCATION BY DEPARTMENT

Department	FY2024 Budget	FY2025 Budget	Change	% of OpEx
Sales & Marketing	\$42.1M	\$52.9M	+\$10.8M (+26%)	43%
Research & Development	\$28.0M	\$34.5M	+\$6.5M (+23%)	28%
General & Administrative	\$14.0M	\$16.1M	+\$2.1M (+15%)	13%
Customer Success	\$10.5M	\$13.6M	+\$3.1M (+30%)	11%
IT & Infrastructure	\$4.2M	\$5.5M	+\$1.3M (+31%)	4%
Legal & Compliance	\$1.4M	\$1.8M	+\$0.4M (+29%)	1%
TOTAL OPEX	\$100.2M	\$124.4M	+\$24.2M (+24%)	100%

HEADCOUNT PLAN FY2025

Department	EoY 2024	New Hires H1	New Hires H2	EoY 2025 Target
Engineering & Product	148	22	18	188
Sales (AE/SDR)	82	18	12	112
Customer Success	45	10	8	63
Marketing	38	6	4	48
G&A (Finance/Legal/HR)	52	5	3	60
IT & Security	24	5	3	32
Exec & Strategy	23	1	1	25
TOTAL	412	67	49	485 (+18%)

KEY RISKS & MITIGATIONS

Risk	Details	Severity
APAC Revenue Shortfall	APAC missed targets in Q2-Q4 2024, primarily Japan (-31%) and India (-40%). Root cause: insufficient senior AEs, pricing challenges.	HIGH
Gross Margin Pressure	Cloud infrastructure costs increased 18% in FY2024 due to AI workload growth. Target: Reduce COGS from 24% to 22.5% by Q3 2025.	MEDIUM
Talent Retention	Attrition rate reached 14% in FY2024 (vs 11% target), particularly in Engineering (17%). Mitigation: compensation benchmarking, improved career paths.	HIGH
Macro Uncertainty	Potential enterprise budget freezes in H1 2025 due to macroeconomic conditions. Contingency: 15% of Q1 quota buffer mobilized.	MEDIUM